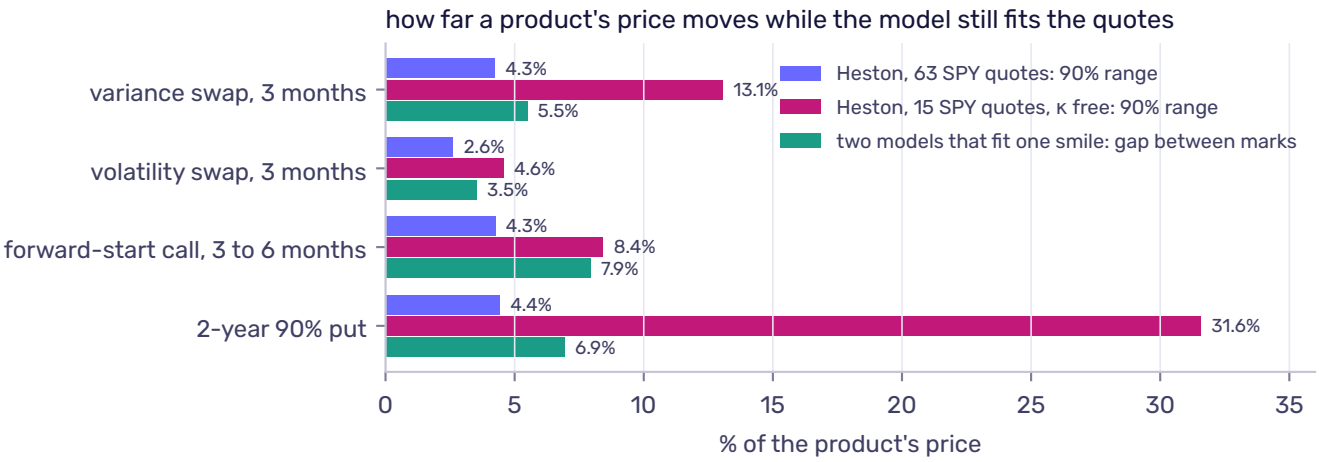
how far a product's price moves while the model still fits the quotes
Heston, 63 SPY quotes: 90% range
Heston, 15 SPY quotes, κ free: 90% range
two models that fit one smile: gap between marks
variance swap, 3 months
4.3%
13.1%
5.5%
volatility swap, 3 months
2.6%
4.6%
3.5%
forward-start call, 3 to 6 months
4.3%
8.4%
7.9%
2-year 90% put
4.4%
31.6%
6.9%
0
5
10
15
20
25
30
35
% of the product's price